Quality Over Quantity, Precision Over Speed

3–5 Year Growth and Profitability Strategy in Tier-3/4 Markets

Bainsight Consulting

Bain Case Competition 2026

Executive summary: position Tier-3/4 cities as Instant Retail Co.'s new growth strategy pilot bases, and empower nationwide growth with pilot city tiering strategy

Thesis

Trade "Speed" for "Quality"

Cut fulfillment cost & enhance high-value user proportion and monetization to break-even & profit

City Segmen-tation

Tier Divest	Tier Optimize	Tier Invest
Luoyang, Nanchang, Nanning, Xuzhou	Yichang, Guilin, Ganzhou	Quanzhou, Weihai, Huizhou

Strategy

Cost Mitigation

Fulfillment Cost Control with Modified Employment Mode & Dark Store Franchisee Mode

Profit Expansion
High Value Users Acquirement & Monetization

High Value Users Acquirement: Partnership Based on Shared Digital Infrastructure

High-value user monetization: Premium Overseas Buying Service

High-Value Users Monetization: Local Premium Wine Brand Development in Cities to Invest

Internal control

Financial Forecast, Implementation Timeline

Market overview: high propensity to consume in Tier-3/4 cities with WTP driven by ROI and tailored scenarios

Market Trends: Tier-3/4 Cities in China

Fact	Insight
Macro Fundamentals: Total Addressable Market Expansion **Tier-3/4 > Tier-1/2** in • FMCG consumption growth • Daily consumption expenditure as proportion of per capita disposable income, i.e., **8.3%** (T3/T4) vs. 5.1% (T1/T2)	Higher **marginal propensity to consume (MPC)** accelerates wallet share expansion in lower-tier demographics
Micro Validation: Category Premiumization Health-centric beverage categories (e.g., sugar-free tea) surged at **29%** in lower-tier cities (vs. 3.8% industry avg.), fueled by lower-tier demand.	Utility optimization: consumers are no longer purely price-driven, They are maximizing the **quality-to-cost ratio.**

Specific Demand Drivers

ROI-Driven Consumption

- Hyper-sensitive to unjustified brand premiums
- Consumers prioritize **intrinsic product value** and structural **cost-performance efficiency**

Scenario-driven Consumption

- Premium payment momentum anchored deeply in key scenarios such as festivities, gifting customs
- Requires tailor-made **go-to-market (GTM)** localization (packaging, timing, promotion)

Source: National Bureau of Statistics, Qince

Root cause & key strategy

Low Profitability Root Cause

Facts

Strong correlation between high-value user proportion & P/L state:

- **All positive**-P/L-performance cities have **above**-avg. high-value user proportion
- For cities with **negative** P/L performance, **3 of 4** are **below** average

- Avg. per order fulfillment cost of Tier-3/4 cities: **¥10.5** (Instant Retail, candidate cities), higher than **¥5.7** (Meituan F.D.)
- Avg. **per capita disposable income** of Tier-3/4 cities is **significantly lower** than that in Tier-1/2 cities

Cause

1. Insufficient High-Value User Acquisition

2. High Fulfillment Cost

Key Strategy

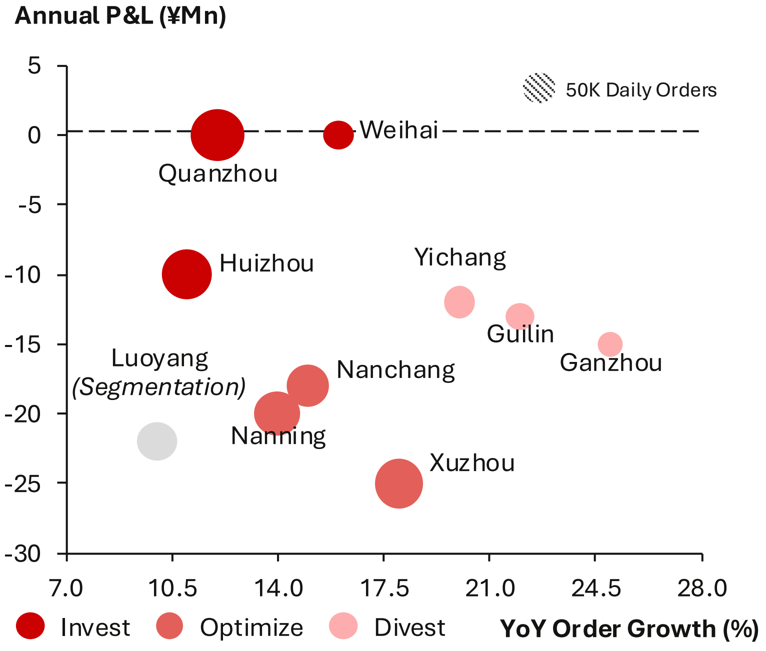
Among 4 strategic positions of

- rich commodity segment (“多”),
- fast delivery (“快”),
- good product value (“好”), and
- low price (“省”),

Instant Retail Co. trades fast delivery for good product value.

City segmentation: 3 cities to invest, 3 to optimize, and 4 to divest

Deploy differentiated strategies in three tiers of cities to pilot business strategies flexibly



Tier Divest Stop-Loss strategy **Applicable in:** Quanzhou, Huizhou, Weihai

Cost mitigation: fulfillment cost control with modified employment mode and dark store franchisee mode in Tier Divest and Tier Optimization cities

Tier Optimize Stop-Loss + Revenue-Boost Strategy **Applicable in:** Nanning, Nanchang, Yichang

Cost mitigation: fulfillment cost control with modified employment mode and dark store franchisee mode in Tier Divest and Tier Optimization cities

Profit Expansion—high value users acquirement: partnership based on shared digital infrastructure in Tier Optimization cities

Tier Invest Revenue Boost Strategy **Applicable in:** Xuzhou, Luoyang, Ganzhou, Guilin

Profit expansion—high-value user monetization: premium overseas buying service in Tier Invest cities

Profit expansion—high-value user monetization: local premium wine brand development in Tier Invest cities

Source: Instant Retail Co.

Cost mitigation: fulfillment cost control with modified employment mode and dark store franchisee mode in Tier Divest and Tier Optimize cities

Cause of High Fulfillment Cost

1 High population density in Tier-3/4 city business districts rises fulfilment because traffic congestion creates idle time

- **28%** idle rate gap between Taikoo Li Beijing (CBD) & rural areas; Taikoo Li CBD is only 2.9 km^2 large
- High idle rate and business cores **correlate more significantly** in Tier-3/4 cities, where business core coverage ratio is higher

Pengcheng Plaza, Xuzhou
- Coverage radius 150+ km, including 10 cities
- 30%+ revenue from out-of-city residents

Jinyue Chunjiangli, *Quanzhou*
- Radius within 3 km
- 190+ residential complexes
- 300K+ population

2 Self-operation mode contribute to higher fulfillment cost compared to platform partnership mode

7.7%	VS	7.1%
Dingdong Maicai		**Meituan Flash Delivery**
Self-Operated		Platform Partnership

Delivery Cost % of GTV

Quick Win Solutions

A Hybrid employment: enhance proportion of part-time couriers to decrease fulfillment cost per order

How to save cost?
- Salary expenditure during idle time contributes to **loss**
- Crowdsourcing decreases percentage of loss contribution units (total base salary for full-times / total idle time)
- Hybrid employment **shifts financial risks** of idle time to riders.

Benchmarks:
- ✓ Crowdsource order fulfillment reaches **40%**
- ✓ Total fulfillment cost at peak delivery periods decreases by **20%**

B Franchise dark stores to other EC platforms to mitigate loss

1. **Align** self-operated dark store product needs with targeted ECs
2. **Negotiate** franchising dark store operation rights to ECs
3. **Charge** franchise fee to ECs

Source: Instant Retail Co., Dingdong Maicai, Meituan Flash Delivery

Profit expansion—high value users acquirement: partnership based on shared digital infrastructure in Tier Optimization cities

Revenue Increase

1

For Brand Dark Stores:

- Shared digital infrastructure with direct title owners
- Enlarged customer traffic and sales-maximizing intelligent customer management system

Brand Dark Stores

1 2

Instant Retail Co.

3 4

Top-Tier ECs

2

For Instant Retail Co.:

- Enlarged flexibility of goods arrangement
- Extended product range
- Increased market share in premium categories covered by dark stores

3

For Top-Tier EC Platforms:

- Direct data access to large Tier-3/4 customer pool with high purchase intent

4

For Instant Retail Co.:

- EC's segmentation of users allows direct identification of high-value users

Cost Mitigation

Instant Retail Co. Share smart digital system with dark stores & EC platforms to decrease unit operation cost due to scaling effect

Profit expansion—high value users acquirement: partnership based on shared digital infrastructure in Tier Optimize cities

1

For Brand Dark Stores:

- Shared digital infrastructure with Instant Retail Co.
- Enlarged customer traffic and sales-maximizing intelligent customer management system

2

For Instant Retail Co.:

- Enlarged flexibility of goods arrangement
- Extended product range
- Increased market share in premium categories covered by dark stores

Intelligent Data Infrastructure
Shared System with Collaborators Through API

Smart User Labeling System

- Analyze past searching & purchasing records
- Automatically generate promoting schemes for potential customers

Well-Established Transaction Infrastructure

- Standardized info backup
- Ensure transaction efficiency & accounting integrity

Dark Stores
Accelerated customer acquisition & retention

Flagship Store for Dark Store Brands
Sell Unique & High-Class Products

- Gradual monopoly of upscale goods
- Decrease homogeneous competition
- Higher pricing power for Instant Retail Co.

Elevate per customer transaction price

Target quality-seeking customers

Drive up Instant Retail Co.’s profit

Profit expansion—high value users acquirement: partnership based on shared digital infrastructure in Tier Optimize cities

3 **For Top-Tier EC Platforms:** direct data access to large Tier-3/4 customer pool with high purchase intent

Set exclusive functional areas

Identify selected commodities → Establish exclusive functional areas → Setup co-distribution mechanism for selected commodities

Give coupons for initial exploration

Generate coupons for the functional area
↓
Distribute coupons to users
↓
User use coupons to initially explore commodities

Reward Points valid on both platforms

Users purchase at co-distribution region
↓
Earn Reward Points
↓
Delegate Reward Points to be valid on both platforms

4 **For Instant Retail Co.:** direct access to potential high-value users through Co-Distribution Area

Collaborate with premium ECs (e.g., JD, VIP)
ECs that target high-value products & serve price-insensitive users

Co-Distribution Area Operations

Promote curated advanced products

- Organic vegetables
- Imported electronics

Data Access & Targeted Retention

Data access to price-insensitive, quality-seeking partner ECs users Through co-distribution area → Run targeted retention scheme for these visitors

Offer new user coupons → Offer fast-track vouchers to premium events

Enhanced efficiency to acquire high-value users

Profit expansion—high-value user monetization: premium overseas buying service in Tier Invest cities

Premium service for high-value users acquired through partnership EC scheme, targeting demand-driving overseas purchase scenarios.

Need Identification

Tier-3/4 high-value users have strong unfulfilled demand for international luxury brands:

During holidays, monthly search growth rate for overseas buying agent tabs exceeds **40%, significantly higher** than search growth rate of general buying agent tabs

Limited enfranchise of international luxury brands in Tier 3&4 cities:

- Top luxury brands mainly concentrate in Tier-1/2 cities.
- Example: SKIMS has only one Chinese franchisee Lane Crawford, covering just in Hong Kong, Beijing, Shanghai, and Chengdu.

Membership: Access Customized & Exclusive Service with Credits

Overseas ECs: Partnership

Reserved commodity targeting demands based on historical purchase tendency

Luxury ↓ ↑ *Sales Rebate*

Premium Overseas Buying Service for Members

Luxury ↑ ↓ *Customer Expansion*

Luxury Brands: Limited Franchise

Hunger marketing campaign directly through Instant Retail Co. during vacations at limited time

How Credits Drive High-Value User Revenue?

Gain credits accumulated through past purchase to increase **sunk cost**	Gain credits heterogenized across platforms to increase **conversion cost**

↓ ↓

Increased high-value user stickiness

+

Reserved credits provoke continuous purchase

=

Enhanced revenue from high-value users

Source: Bainsight, Ctrip

Profit expansion—high-value user monetization: local premium wine brand development at Tier Invest cities

Trend: High Growth Potential of Tier-3/4 Spirit Market

Statistics Overview:

- Premium beverage stores cover **50%** of counties, catering transactions exceed **¥500**, with +20% YoY
- **28.5%** rural residents' spending is on tobacco/alcohol/food (urban areas 23.5%); **38%** rural spirit consumption, significantly higher than urban areas (30%)

Current Demand Mismatch:

- Tier-1/2 cities leading premium wine brands reported **sales side under pressure** after expansion in Tier-3/4 cities
- Lang Jiu (top-tier distilled wine) showed decreased **competitivity** in Tier-3/4 markets due to **transparent** pricing on open market.

Uncaptured Needs & Opportunities

Uncaptured Needs: minority premium wine with **opaque pricing** as a gift to demonstrate wealth and unique taste in a humble way

Premiumization potential exists for local wine brands:

price enhanced for brand value as **social currency** at **key social settings**

Source: Bainsight, DFCFW.com

Profit expansion—high-value user monetization: local premium wine brand development at Tier Invest cities

Capture Premiumization potential to Enhance HIgh-value User LTV

Strategy Processes

Brand Selection: local wine with established customer base and growth momentum

Partnership mode: 2-Phase approach
Initialize with platform direct distribution, expand with warehouse mode

Phase 1: Market Pilot		Phase 2: Ceize Market Share
Direct distribution mode Purchase partial distribution right from a series of brands to design product combinations with **flexibility** and supervise the sales chain with **optimal decision right**	If feedback Positive	Warehouse expansion mode Purchase partial distribution Adopt a **light-asset expansion mode** to cover ·ain business cycles rapidly, increase customer reach across regions and secure the position as main collaboration platform of selected brands

Marketing Scheme

Leverage premiumization: create premiumization momentum by targeting special themes

- Instant Retail Co. Hold "Wine Culture Exploration" high-class local wine **brand shadowing series** events to release limited Collector Edition level wine with above-average pricing.
- Collector Badge of Honour is endowed to buyers. The badges are entry vouchers for certain **premium user services** targeted according to their consumption interest.

Source: Bainsight, DFCFW.com

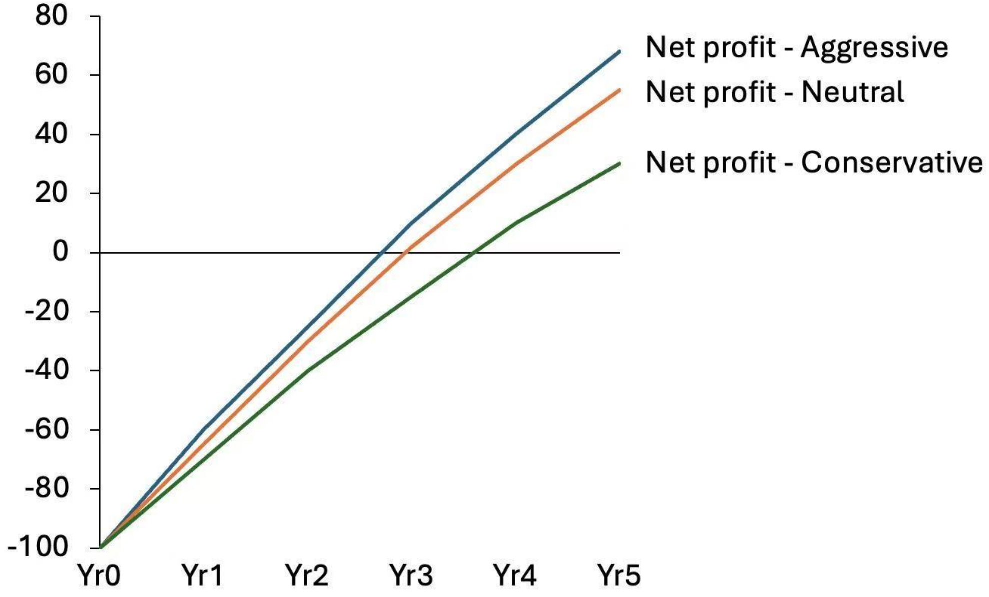
BAINSIGHT

Financial forecast

Financial forcast - Basic assumption

Assume initial net loss at 100B RMB.

	Project phase	
	Yr 1-3: Breakeven	Yr 4-5: Profit
Sentiment		
Aggressive	Net P/L at year end: Yr1 -60B Yr2 -25B Yr3 10B	Net P/L at year end: Yr4 40B Yr5 68B
Neutral	Yr1 -65B Yr2 -30B Yr3 2B	Net P/L at year end: Yr4 30B Yr5 55B
Conservative	Yr1 -70B Yr2 -40B Yr3 -15B	Net P/L at year end: Yr4 10B Yr5 30B



Unit-economics framework

Per customer transaction price: Ave. 15 RMB for mass-market goods, Ave. 200+ RMB for premium goods

(-) Per order fulfillment cost: 5 RMB

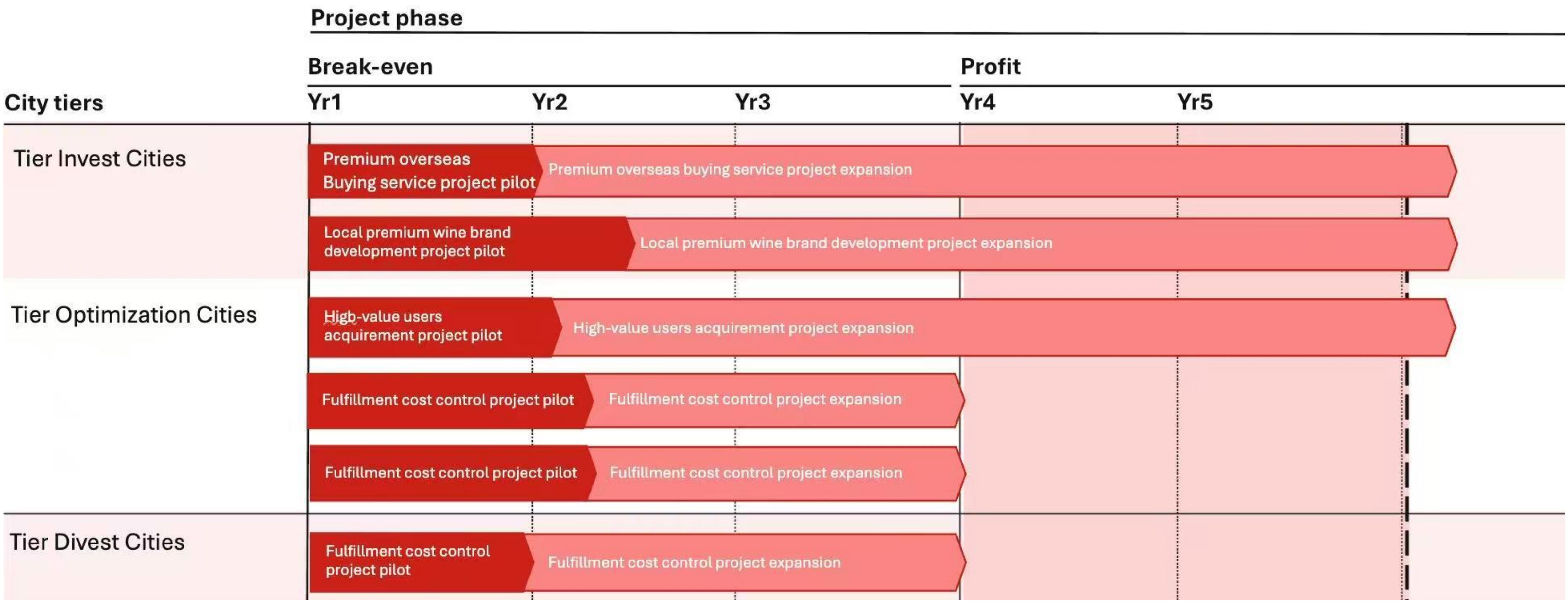
(-) Per order other variable operating cost: 0.8 RMB

= Per order contribution margin

Total profit = Per contribution margin * number of orders – fixed cost

Source: Bainsight

Implementation timeline



Source: Bainsight